

1.) Glovis and BYD sign car shipping deal

Hyundai Motor Group (HMG) logistics unit, Hyundai Glovis, this week signed a preliminary agreement with China's largest NEV manufacturer BYD Auto to establish a strategic alliance in global shipping, according to local reports.

Hyundai Glovis in recent years has been active in diversifying its client base beyond HMG, which includes Hyundai Motor and Kia Corporation, in an effort to improve the efficiency of its global shipping operations. It already has agreements with a number of global automakers, including Volkswagen Group.

The proposed partnership with BYD, which has been ramping up its exports from China in the last two years, is expected to be mutually beneficial. Under the memorandum of understanding, the two companies will study opportunities to "share" their pure car and truck carriers (PCTC) – purpose-built vessels for the transportation of vehicles.

According to reports, Hyundai Glovis is the world's third largest vehicle shipping company with 81 PCTCs in operation at the end of last year serving 27 countries.

The company plans to expand its fleet to 102 vessels by 2026 and 128 by 2030, including ships that can carry up to 10,000 vehicles.

BYD is understood to have just two PCTCs in operation which it has leased on a long term basis, with two others under construction by a Chinese shipbuilder.

The automaker reported a 30% increase in global sales to 2.3m vehicles in the first eight months of 2024, including a 125% jump in overseas sales to 264,869 units.

The company aims to increase exports to 1m vehicles annually by 2025.

2.) Hyundai Glovis's Board Approves Plan to Build World's Largest Car Carriers

Hyundai Glovis, one of the largest operators of vehicle transports, is moving forward with plans to build the world's largest car carriers each with a capacity of 10,800 vehicles. The company reported the decision of its board of directors to authorize the construction order while reporting its quarterly results and in a filing with the Korean Stock Exchange.

While reporting to investors that the company experienced a decrease in high freight SPOT volume in the car and truck carrier segment, they also showed the highest utilization of vehicle space in a decade of history for the business. Traditionally running in the low to mid 60 percent range, they reported utilization of available vessel space surpassed 70 percent in the second quarter of 2023, up better than two percentage

points from 2022.

Exports of finished car OEMs they reported are expected to recover noting that there currently is limited vessel availability due to port congestion in regions such as North America (West Coast), as well as in Europe and Australia. Hyundai Glovis currently operates 78 vessels in total while citing an overall lack of vessels and capacity in the market.

The company's board has authorized a planned \$1.84 billion investment into a new fleet of vessels, which as reported would also be the largest in the industry today. The plan calls for the construction of a dozen vessels each with a 10,800 unit capacity.

"Securing a fleet of LNG dual-fuel propulsion engines to stabilize mid- to long-term fleet operations and respond to strengthened international environmental regulations," the company reports it expects to take delivery of the vessels by September 2027. The vessel was also part of the company's plan to achieve a better than 20 percent reduction in emissions by 2030 compared to 2021 through the introduction of LNG-fueled ships and eco-friendly trucks.

Currently, the sector's largest vessels have a capacity of 8,500 units but the industry has been rushing forward with new orders to meet current and anticipated future demand. Nearly 100 new PCTCs were ordered in 2022 and with the growth of the Chinese car manufacturing industry, demand is expected to continue to grow.

Earlier last week, Norway's Wallenius Wilhelmsen confirmed that it was moving forward with the previously announced deal to build the first four 9,350 CEU methanol-capable and ammonia-ready vessels. In August 2023, the company signed a letter of intent for the four vessels with China's Jinling Shipyard with an option for up to eight more ships. Wallenius Wilhelmsen reports the order is part of the efforts at decarbonization with their strategy to maintain a fleet of 125 to 135 vessels.

3.)HMM inks giant car carriers to charter to Hyundai Glovis

HMM has added a \$732m series of LNG dual-fuel large pure car/truck carrier newbuildings to its growing orderbook, even though the company is up for sale.

The South Korean liner giant ordered six vessels of 10,800 ceu at China's Guangzhou Shipyard International against long-term charter contracts with Hyundai Glovis.

Seaspan confirms move into car carriers in huge order with Hyundai Glovis

[Read more](#)

State-owned China State Shipbuilding Corp is said to have announced the deal at a closed-door signing ceremony during Asia's largest shipping exhibition, Marintec China.